CRYPTO

CRYPTOS ON A CRASH COURSE

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Illustration by **NILANJAN DAS**

Cryptocurrencies have been tumbling worldwide as the Ukraine war prolongs and the spectre of still higher crude prices and inflation haunts countries. In over six weeks, the global crypto market has lost around $830 billion, hurting investors, even as stock markets remain highly volatile globally. On May 16, the global cryptocurrency market capitalisation (m-cap) was $1.27 trillion, less than half the $2.83 trillion in November last year. Bitcoin, the most valuable cryptocurrency, was trading at $29,505 (around Rs 23 lakh) per coin, compared to $64,862 (around Rs 50.5 lakh) in November. The big fall, however, came in the second week of May, led by the crash of "stablecoin" TerraUSD (code-named UST) which fell to $6.16 billion (Rs 47,934 crore) in m-cap, a 63 per cent fall from a month ago. A stablecoin like TerraUSD uses complex codes to create new coins or destroy old ones to maintain a steady price. But with big investors dumping the coin, it dropped below $1 and further collapsed to $0.30 on May 11. Its sister coin Terra (code-named Luna) has also been in a free fall, erasing billions in investor wealth. Indian crypto exchanges delisted Terra (Luna) from trading as its price crashed below zero on May 13.

For investors in India, the fall in crypto could not have come at a worse time. Already hurt by the 30 per cent tax the Union budget imposed on proceeds from crypto trading in February, its continuing slide has left millions of investors in the lurch. As many as 15-20 million Indians had invested around $6 billion (Rs 46,695 crore) in cryptos on digital platforms, as per industry estimates in November last year.

The reasons behind the crash are not hard to grasp. Unlike the stock markets, where share prices are supported by underlying assets and revenues of the listed companies, cryptos have no such backing. Over 7,000 different cryptos are traded publicly, but the number in circulation is much more. Their unregulated and decentralised nature means that anyone with knowledge of the underlying technology can launch a crypto. With very little backing of physical assets, cryptos are quite vulnerable to the vagaries of the financial world.

The uncertainties around Russia's invasion of Ukraine have jolted global stock markets, leading to huge corrections. Crude oil prices (for Brent) continue to hover around $110. Coupled with the supply constraints imposed by the war, they have stoked high inflation, forcing the US Federal Reserve to raise interest rates by 50 basis points (bps) earlier this month. In India, inflation crossed the Reserve Bank of India's (RBI) targeted 6 per cent upper limit for a fourth consecutive time in April, touching 7.79 per cent. The RBI raised